Tentative Rulings and Resolution Review Hearings
June 15, 2026
Department 63

This Court does not follow the procedures described in Rules of Court, Rule 3.1308(a). Tentative rulings are available online no less than 12 hours in advance of the time set for hearing. Tentative rulings may be found on the court's website (www.shasta.courts.ca.gov) and are available by clicking on the "Tentative Rulings" link under the "Online Services" tab. A QR code that links to the tentative rulings is posted outside the courtroom. A party is not required to give notice to the Court or other parties of intent to appear to present argument.

Telephonic appearances through CourtCall (888-882-6878; courtcall.com) are generally permitted on the Law & Motion and Resolution Review calendars and can be made without leave of Court.

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8:30 a.m. – Law & Motion
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AXIOM REPERTORY THEATRE VS. CHARITY ONE INSURANCE AGENCY, ET AL.
CASE NUMBER: 26CV-0209907
Tentative Ruling on Charity One Demurrer: Defendant Charity One Insurance Agency ("Charity One"), Caroline O'Connor, Sarai Zamora, Claudine Ford, and Lisa Delgado demur to Plaintiff Axiom Repertory Theatre's ("Axiom") First Amended Complaint. Axiom opposes the demurrer.

The FAC generally alleges that Axiom, a nonprofit theater company in Redding, suffered losses due to an October 30, 2024, fire. Axiom alleges its insurance broker Charity One Insurance Agency, several of Charity One's employees, and Great American Insurance Company are liable for damages on claims including negligence, breach of contract, fraud, and other causes of action relating to Axiom's insurance coverage.

The Complaint includes fifteen causes of action. This demurrer concerns the following nine: First (Professional Negligence against O'Connor and Zamora), Second (Heightened Duty against Charity One, O'Connor and Zamora), Third (Declaratory Relief), Fifth (Breach of Contract), Sixth (Breath of Implied Covenant of Good Faith and Fair Dealing), Seventh (Negligent Misrepresentation and constructive Fraud against Charity One, O'Connor, Zamora, and Delgado), Eighth (Intentional Misrepresentation and Constructive Fraud); Eleventh (Aiding and Abetting), and Thirteenth (Restitution and Unjust Enrichment).

<u>Meet and Confer</u>: CCP § 430.41 requires the demurring party to "meet and confer in person or by telephone with the party who filed the pleading that is subject to demurrer for the purpose of determining whether an agreement can be reached that would resolve the objections to be raised in the demurrer." The Declaration of Khodadad Sharif establishes compliance with this requirement.

<u>Merits</u>: A demurrer should be sustained if the complaint fails to "state facts sufficient to constitute a valid cause of action." CCP § 430.10(e). A demurrer can be used to challenge defects that appear on the face of the complaint or from matters that may be subject to judicial notice. *Blank v. Kirwan* (1985) 39 Cal. 3d 311, 318. The court "treat[s] the demurrer as admitting all material facts properly pleaded, but not contentions, deductions or conclusions of fact or law." *Hood v. Hacienda La Puente Unified School District* (1998) 65 Cal. App. 4th 435, 438. No matter how unlikely, a plaintiff's allegations must be accepted as true for the purpose of ruling on a demurrer. *Del. E. Webb Corp. v. Structural Materials Co.* (1981) 123 Cal. App. 3d 593, 604. A plaintiff must plead ultimate facts that acquaint the defendant with the nature, source and extent of plaintiff's causes of action.

Doe v. City of Los Angeles (2007) 42 Cal. 4th 542, 550.

<u>*First COA – Professional Negligence.*</u> Charity One argues that the individually named Defendants O'Connor and Zamora cannot be held individually liable as agents of the principal. "When supported by appropriate facts, an insurer's mishandling of a claim … may also be actionable under one or more of the following alternative tort theories: [¶] … [¶] … Negligent Misrepresentation." (Croskey et al., Cal. Practice Guide: Insurance Litigation (The Rutter Group 2013) ¶ 11:9, p. 11-3 (rev. # 1, 2011) (Croskey).) And the treatise goes on to state, in point-blank terms: "The insurer's agents and employees may have committed some independent tort in the course of handling the third party claims; e.g., misrepresentation or deceit, invasion of privacy, intentional infliction of emotional distress, etc. In such event, they can be held personally liable, even though not parties to the insurance contract. *Bock v. Hansen* (2014) 225 Cal.App.4th 215, 228.

The FAC alleges that O'Connor and Zamora personally failed to timely process the renewal application, failed to bind coverage before the lapse date, failed to update coverage per Axiom's specific requests, and personally participated in the solicitation of no-loss letters with knowledge of the fire loss. These are allegations of personal tortious conduct, not vicarious liability for Charity One's contractual obligations. The demurrer as to O'Connor and Zamora on this cause of action is **OVERRULED**.

<u>*Second COA – Heightened Duty.*</u> Charity One argues that there is no heightened duty or presumption of expertise for O'Connor and Zamora. "[A]s a general proposition, an insurance agent does not have a duty to volunteer to an insured that the latter should procure additional or different insurance coverage. … The rule changes, however, when--but only when--one of the following three things happens: (a) the agent misrepresents the nature, extent or scope of the coverage being offered or provided (as in *Free, Desai* and *Nacsa*), (b) there is a request or inquiry by the insured for a particular type or extent of coverage (as in *Westrick*), or (c) the agent assumes an additional duty by either express agreement or by "holding himself out" as having expertise in a given field of insurance being sought by the insured (as in *Kurtz*). *Fitzpatrick v. Hayes* (1997) 57 Cal.App.4th 916, 927.

All three *Fitzpatrick* exceptions are pled in the FAC: 1) Charity One holds itself out as an exclusive nonprofit insurance specialist with risk management expertise; 2) Axiom's specific requests for additional coverage including liquor liability and updated property limits; and 3) Charity One's alleged misrepresentation of the scope of coverage by concealing underinsurance clauses. Whether the facts are sufficient to establish heightened duty is a fact-intensive inquiry that cannot be resolved as a matter of law on demurrer. The demurrer as to O'Connor and Zamora on this cause of action is **OVERRULED**.

<u>*Third COA – Declaratory Judgment.*</u> Charity One argues that this claim is not necessary or proper under CCP 1060, as it brings no new issues that are not already to be decided by the Court. Axiom is entitled to plead legal theories in the alternative without rendering the pleading defective. An election cannot be forced by demurrer. *Steiner v. Rowley* (1950) 35 Cal.2d 713, 718–19. A declaration here would determine the operative policy, the legal effect of Great American's rescission, its continuing obligations to adjust and pay remaining benefits, and the prospective duty to disclose material contract terms. *Haynes v. Farmers Ins. Exchange* (2004) 32 Cal.4th 1198. The cause of action is sufficiently pled. The demurrer as to the Third Cause of Action is **OVERRULED**.

<u>*Fifth COA – Breach of Contract.*</u> Charity One argues that the Complaint fails to plead any elements of this claim and that the allegations are uncertain and ambiguous. The elements of a cause of action for breach of an insurance contract are (1) the contract, (2) the insured's performance or excuse for nonperformance, (3) the insurer's breach, and (4) resulting damages. *Gharibian v. Wawanesa General Ins. Co*. (2025) 108 Cal.App.5th 730, 737.

The FAC alleges Axiom retained Charity One as its broker for years, that Charity One undertook to procure, renew, and maintain insurance coverage for Axiom, that Axiom submitted renewal materials through Charity One, that Charity One accepted and processed those materials, transmitted renewal offers and premium payment links, and that Axiom paid premiums in reliance on Charity One's role in securing coverage. These allegations are sufficient at the pleading stage to allege a contractual relationship formed through conduct, course of dealing, and payment. Breach and damages are clearly alleged. The demurrer as to this cause of action is **OVERRULED**.

Sixth COA – Breach of Implied Covenant. Charity One argues that this cause of action is uncertain and fails to state sufficient facts, as it just restates the breach of contract claim. The elements of a cause of action for breach of the implied covenant of good faith and fair dealing are: (1) the insurer was obligated under the policy to the insured, (2) the implied duty of good faith and fair dealing arose, (3) the insurer unreasonably breached that duty, and (4) the breach caused damages. *Love v. Fire Ins. Exchange* (1990) 221 Cal.App.3d 1136, 115; *Waters v. United Services Auto. Assn.* (1996) 41 Cal.App.4th 1063, 1079.

The special relationship supporting a tort claim for breach of the implied covenant in the insurance context exists between an insured and its insurer, not between an insured and its broker. *See Gruenberg v. Aetna Ins. Co*. (1973) 9 Cal.3d 566, 576 (the non-insurer defendants were not parties to the agreements for insurance; therefore, they are not, as such, subject to an implied duty of good faith and fair dealing). Charity One is not the insurer. Axiom's special relationship for purposes of bad faith is with Great American. The demurrer to this cause of action is **SUSTAINED** without leave to amend.

Seventh COA – Negligent Misrepresentation/Constructive Fraud. Charity One argues that this cause of action will not lie against O'Connor, Zamora, Ford, and Delgado because they cannot be personally liable in this litigation. Charity One also argues that Charity One owes no fiduciary duty to Plaintiff.

The FAC adequately pleads a fiduciary relationship. Under California Insurance Code section 1733, those who accept premium payments hold those funds in a fiduciary capacity. Charity One alleges it accepted premium payment from Axiom on October 31, 2024, for a policy it did not timely bind and at a time it allegedly knew of the fire loss. An insurance broker acts in a fiduciary capacity when receiving and holding premiums. *Mark Tanner Constr. v. Hub Internat. Ins. Servs.* (2014) 224 Cal.App.4th 574, 585. That is sufficient at the pleading stage to allege a fiduciary relationship from which constructive fraud may arise.

As to the liability of individual defendants O'Connor, Zamora, Ford, and Delgado, the FAC pleads their personal participation in the post-loss conduct and the no-loss letter scheme. Allegations of that personal participation, combined with the fiduciary relationship arising from the premium payment they facilitated, is sufficient to survive demurrer. The demurrer as to this cause of action is **OVERRULED**.

Eighth COA – Intentional Misrepresentation/Constructive Fraud. Charity One argues the FAC does not allege facts with the required specificity to state a fraud claim. Fraud must be pleaded with particularity. *Stansfield v. Starkey* (1990) 220 Cal.App.3d 59, 63. Where fraud is alleged against a corporation or its employees, the plaintiff must allege the names of the persons who made the fraudulent representations, their authority to speak, to whom they spoke, what they said or wrote, and when it was said or written. *Lazar v. Superior Court* (1996) 12 Cal.4th 631, 645.

The FAC satisfies this standard. Paragraphs 69 through 113, under the section heading "Axiom's Fire and Charity One's Fraudulent Renewal Attempt," identify O'Connor and Zamora by name, allege specific dates and times of communications, describe the content of emails soliciting no-loss letters, and allege that these representations were made with actual knowledge of the October 30, 2024 fire loss. Fraud is alleged with the requisite specificity. The demurrer as to this cause of action is **OVERRULED**.

Eleventh COA – Aiding and Abetting. Charity One argues this cause of action is deficient for failing to allege knowledge of the actual wrongful act. Aiding and abetting requires that a defendant knowingly give substantial assistance to someone who performed wrongful conduct, with actual knowledge of the specific primary violation.

Casey v. U.S. Bank Nat. Assn. (2005) 127 Cal.App.4th 1138, 1148. General allegations of actual knowledge of a specific primary violation are sufficient. *Ibid.* The FAC alleges Ford and Delgado had actual knowledge of O'Connor and Zamora's fraudulent conduct and provided substantial assistance through ratification and approval of fraudulent communications. (FAC ¶¶ 262-264.) These general allegations of actual knowledge of the specific primary violation are sufficient to survive the demurrer. The demurrer as to this cause of action is **OVERRULED**.

<u>*Thirteenth COA – Restitution/Unjust Enrichment.*</u> (Unjust Enrichment is listed as the fourteenth on the caption page, but as the thirteenth in the body of the FAC.) Charity One argues that unjust enrichment is not a stand-alone cause of action, and there is no basis for restitution.

"Unjust enrichment is generally an inapplicable basis for restitution where the parties have an enforceable express contract; however, restitution may be awarded in lieu of breach of contract damages when the parties had an express contract, but it was procured by fraud or is unenforceable or ineffective for some reason, or where the defendant obtained a benefit from the plaintiff by fraud, duress, conversion, or similar conduct. Common law principles of restitution require a party to return a benefit when the retention of such benefit would unjustly enrich the recipient; a typical cause of action involving such remedy is 'quasi-contract. Thus, Sepanossian's "unjust enrichment" claim does not properly state a cause of action. Because Sepanossian does not dispute there were express form contracts in this case, he cannot assert a quasi-contract claim for restitution based on unjust enrichment. "Although a plaintiff may plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, that is not what occurred here. Instead, [Sepanossian's] breach of contract claim pleaded the existence of … enforceable agreement[s] and [his] unjust enrichment claim did not deny the existence or enforceability of [those] agreement[s]. [Sepanossian is] therefore precluded from asserting a quasi-contract claim under the theory of unjust enrichment." *Sepanossian v. National Ready Mixed Concrete Co*. (2023) 97 Cal.App.5th 192, 207 (internal quotations and citations omitted).

Here, Plaintiff has plead inconsistent claims that allege both the existence of an enforceable agreement and the absence of an enforceable agreement, which gives rise to the quasi-contract claim under the theory of unjust enrichment. This is permissible as discussed in *Sepanossian*. The cause of action is adequately pled. The demurrer as to the Thirteenth Cause of Action is **OVERRULED**

Charity One's Demurrer is sustained without leave to amend as to the sixth cause of action and is overruled as to all other contested causes of action. Charity One is directed to submit a new proposed order consistent with this ruling. Plaintiff will have 20 days' leave to file a Second Amended Complaint from notice of entry of order.

AXIOM REPERTORY THEATRE VS. CHARITY ONE INSURANCE AGENCY, ET AL.
CASE NUMBER: 26CV-0209907
Tentative Ruling on Great American's Demurrer: Defendant Great American Assurance Company ("Great American") demurs to six of the twelve causes of action alleged against it by Plaintiff Axiom Repertory Theatre ("Axiom") in the First Amended Complaint ("FAC"). Axiom opposes the demurrer.

The FAC generally alleges that Axiom, a nonprofit theater company in Redding, suffered losses due to an October 30, 2024 fire. Axiom alleges its insurance broker Charity One Insurance Agency, several of Charity One's employees, and Great American Insurance Company are liable for damages on claims including negligence, breach of contract, fraud, and other causes of action relating to Axiom's insurance coverage.

The Complaint includes fifteen causes of action, twelve of which are alleged against Great American. This demurrer concerns the following six: the Third Cause of Action (Declaratory Judgement), Fourth (Reformation), Fifth (Breach of Contract), Sixth (Breach of Implied Covenant of Good Faith and Fair Dealing), Ninth (Conspiracy), and Thirteenth (Unjust Enrichment). Great American demurs on the grounds that the Third, Fourth,